Capital Gains Worksheet

Use this worksheet to calculate certain amounts when determining your capital gains or losses.

Keep this worksheet for your records. **Do not attach it to your return.**

Line 21700 – Allowable business investment loss

Complete the calculation below to determine your allowable business investment loss (ABIL) and, if applicable, your business investment loss reduction.

Calculating your business investment loss reduction, if any

If you claimed a capital gains deduction in a previous year, you have to reduce your business investment loss. To determine the reduction, complete the lines 1 to 18 below.

If you did **not** claim a capital gains deduction in previous years, enter "0" on line 15 and continue at line 16.

For 1985 to 1987: Total amounts from line 254 of your income tax and benefit returns for these years		× 2 =			1
For 1988 and 1989 (other than for eligible capital property gains): Total amounts from line 254 of your returns **minus** any amounts reported on lines 543 and 544 of Schedule 3 (if negative, enter "0")		(a) × 1.5 =		+	2
For 1988 and 1989 (for eligible capital property gains): Total amounts from line 254 of your returns **minus** amount (a) above (**cannot be more** than the amounts from lines 543 and 544 of Schedule 3)		× 1.3333 =		+	3
For 1990 to 1999: Total amounts from line 254 of your returns for these years		× 1.3333 =		+	4
For 2000: Amount from line 254 of your return		× 1/IR (1) =		+	5
For 2001 to 2024: Total amounts from line 254 of your returns for 2001 to 2018, line 25400 of your returns for 2019 to 2024, and line 25395 of your return for 2024		× 2 =		+	6
Add lines 1 to 6.			**Total of all capital gains deductions claimed from 1985 to 2024**	=	7

For 1986 to 1994: Total amounts from line 535 of Schedule 3 for these years			8
For 1994 to 1996: Total amounts from line 034 of Schedule 3 for these years	+		9
For 1997 to 1999: Total amounts from line 178 of Schedule 3 for these years	+		10
For 2000: Total amounts from lines 293, 178 and 5668 of Schedule 3	+		11
For 2001 to 2023: Total amounts from line 178 of Schedule 3 for 2001 to 2018 and line 17800 of Schedule 3 for 2019 to 2023	+		12
For 2024: Total amounts from lines 17799 and 17800 of Schedule 3	+		13
Add lines 8 to 13.	=	► –	14
Line 7 minus line 14		**Total of all other business investment loss reductions for 1986 to 2024** =	15

(1) This inclusion rate (IR) is from line 16 in Part 4 of Schedule 3 for 2000, or from your notice of assessment or latest notice of reassessment for 2000.

Line 21700 – Allowable business investment loss (continued)

Calculating your allowable business investment loss

Business investment loss in 2025 Enter this amount on **line 21699** of your return.			**16**
Enter **whichever is less:** amount from line 15 or line 16. Enter this amount on **line 17800** of Schedule 3.		–	**17**
Line 16 minus line 17	**Business investment loss reduction**	=	**18**
Inclusion rate for 2025		× **50 %**	**19**
Line 18 multiplied by the percentage on line 19 Enter this amount on **line 21700** of your return.	**Allowable business investment loss**	=	**20**

Attach a note to your income tax and benefit return that states:

- the name of the small business corporation
- the number and class of shares, or the type of debt you disposed of
- the insolvency, bankruptcy, or wind-up date
- the date you bought the shares, or the date you acquired the debt
- the amount of the proceeds of disposition
- the adjusted cost base of the shares or debt
- the outlays and expenses on the disposition
- the amount of the loss

Line 25300 – Net capital loss of other years (if you **do not** have pre-1986 capital loss balance)

Complete the calculation below to determine your net capital losses of other years that you can apply to 2025 if:

- You do **not** have a balance of unapplied net capital losses from before May 23, 1985
- Your 2024 notice of assessment or notice of reassessment shows that you have unapplied net capital losses of other years, a 2024 net capital loss, or both

Otherwise, complete the calculation for line 25300 on next page.

Total unapplied net capital losses available from before 2024 (from your 2024 notice of assessment or reassessment)			**1**
Your 2024 net capital loss (from your 2024 notice of assessment or reassessment)		+	**2**
Line 1 plus line 2		=	**3**
Your 2025 taxable capital gains from line 12700 of your 2025 return	**4**		
Enter **whichever is less:** the amount from line 3 or line 4.	**5**		
Enter the amount of losses you want to claim **(2)**. Enter this amount on **line 25300** of your 2025 return.		–	**6**
Balance of unapplied net capital losses of other years not used to reduce taxable capital gains and available to carry forward to future years: line 3 minus line 6		=	**7**

(2) You can apply **all or part** of the amount from line 5 against your taxable capital gains in 2025.

Line 25300 – Net capital loss of other years (if you have pre-1986 capital loss balance)

Complete the calculation below to apply your net capital losses of other years to 2025 and to determine your balance of unapplied net capital losses you can carry forward to a future year.

If you do **not** have a **pre-1986 capital loss balance**, use the calculation for line 25300 on the previous page instead.

Calculating your pre-1986 capital loss balance available for 2025, if any

Complete lines 1 to 3 **only** if you have a balance of unapplied net capital losses from before May 23, 1985.

Otherwise, enter "0" on line 3 and continue at line 4.

Balance of unapplied net capital losses you had before May 23, 1985							1
Capital gains deductions you claimed:							
Before 1988					A		
In 1988 and 1989		×	0.75	=	+ B		
From 1990 to 1999		×	0.6667	=	+ C		
In 2000		×	1/(IR x 2)	=	+ D		
From 2001 to 2024					+ E		
Total capital gains deductions after adjustment: add amounts A to E.					=	► –	2
Pre-1986 capital loss balance available for 2025: line 1 minus line 2						=	3

Applying net capital losses of other years to 2025

Before you begin, complete columns A to C of Chart A, Adjustment calculation for carry-forward losses, on the next page.

Total unapplied adjusted net capital losses of other years : Total of column C from Chart A			4
Taxable capital gains from line 12700 of your 2025 return			5
Enter **whichever is less:** amount from line 4 or line 5.			6
Enter the amount of losses you want to claim (3).		– ►	7

If you did **not complete lines 1 to 3**, enter the amount from line 7 on **line 25300** of your 2025 return. This is your 2025 deduction for net capital losses of other years. Do **not** complete lines 8 to 12, and enter the amount from line 7 on line 13. However, complete columns D to G of Chart A to calculate the balance of unapplied net capital losses available to carry forward to future years.

If you **completed lines 1 to 3**, complete lines 8 to 13 and columns D to G of Chart A to calculate the net balance of unapplied capital losses available to carry forward to future years.

Balance of unapplied adjusted net capital losses of other years not used to reduce taxable capital gains: line 4 minus line 7	=		8
Enter w**hichever is less:** amount from line 3, line 8, or $2,000.		+	9
Line 7 plus line 9 — **Deduction in 2025 for net capital losses of other years**		=	10

Enter the amount from line 10 on **line 25300** of your 2025 return and continue at line 11 to calculate the balance of unapplied net capital losses available to carry forward to future years.

Calculating your balance of unapplied net capital losses of other years available to carry forward

Amount from line 7		11
Amount from line 9	+	12
Line 11 plus line 12 — **Total adjusted net capital losses of other years applied in 2025**	=	13

(3) You can apply **all or part** of the amount from line 6 against your taxable capital gains in 2025.

Chart A – Adjustment calculation for carry-forward losses

When you complete this table, replace “IR” with your inclusion rate for 2000. This rate is from line 16 in Part 4 of Schedule 3 for 2000, or from your notice of assessment or latest notice of reassessment for 2000.

Period net capital loss incurred	(A) Amount of your unapplied net capital losses	(B) Adjustment factor (for the inclusion rate)	(C) Adjusted gross capital losses (column A **multiplied by** column B)	(D) Total adjusted net capital losses applied against taxable capital gains in 2025 **(4)**	(E) Remaining adjusted net capital losses (column C **minus** column D) **(5)**	(F) Adjustment factor (for carry-forward losses)	(G) Net capital loss balance available to carry forward (column E **multiplied by** column F)
Before May 23, 1985		1				1	
After May 22, 1985, and before 1988		1				1	
In 1988 and 1989		0.75				1.33	
After 1989 and before 2000		0.6667				1.5	
In 2000		1/(IR × 2)				2 × IR	
After 2000 and before 2025		1				1	
		Total					

(4) The total for column D must equal the amount from line 13.

(5) The total for column E should be equal to the amount shown on your notice of assessment or notice of reassessment for unapplied net capital losses of other years available for 2025.

Supporting calculation A – Revised ACB of a flow-through entity

Complete the calculation below to determine the adjusted cost base (ACB) of your shares of, or interest in, the flow-through entity **only** if the proceeds of disposition you designated on Form T664 for the property were **more** than its fair market value (FMV) at the end of February 22, 1994. If the flow-through entity is a trust (other than a mutual fund trust), do **not** complete this calculation as you do not have to reduce the ACB of your interest.

Designated proceeds of disposition (column 2 of Chart A of Form T664)						1
FMV at the end of February 22, 1994 (Step 1 of Form T664)		A	× 1.1	=	–	2
Line 1 minus line 2 (if negative, enter "0")					=	3

If the amount on line 3 is "0", do **not** complete the rest of this calculation.

Amount A above						4
ACB at the end of February 22, 1994 (column 1 of Chart A of Form T664)				–		5
Line 2 minus line 5				=		6

If you entered an amount in column 4 of Chart A of Form T664, complete lines 7 to 11 and continue at line 12.

Otherwise, enter the amount from line 6 on line 8.

Amount from column 4 of Chart A of Form T664						7
Amount from column 3 of Chart A of Form T664		÷				8
Line 7 divided by line 8		=				9
Amount from line 6		×				10
Line 9 multiplied by line 10		=	►	–		11
Line 6 minus line 11				=	► –	12
Line 3 minus line 12			**Reduction of the ACB**		=	13

If the amount on line 13 is negative, do **not** complete the rest of this calculation.

Amount from line 5						14
Amount from line 13					–	15
Line 14 minus line 15 (if negative, enter “0”)			**Revised ACB on February 23, 1994**		=	16

Use the amount from line 16 to calculate the capital gain or loss when you sell your shares of, or interest in, the flow-through entity.

Supporting calculation B – Revised ACB of capital property (other than for flow-through entity)

Complete the calculation below to determine the adjust cost base (ACB) of the property **only** if the proceeds of disposition you designated on Form T664 or T664 (Seniors) for the property that were more than its fair market value (FMV) at the end of February 22, 1994.

FMV of the property at the end of February 22, 1994 from Step 1 of Form T664 or T664 (Seniors)						1
Designated proceeds of disposition: column 2 of Chart B of Form T664, or column 2 in Step 2 of Form T664 (Seniors)						2
Amount from line 1		× 1.1	=	–		3
Line 2 minus line 3 (if negative, enter "0")				=	► –	4
Line 1 minus line 4 (if negative, enter "0")					=	5
If the property is non-qualifying real property, enter the amount from column 4 of Chart B of Form T664, or from column 4 in Step 2 of Form T664 (Seniors). Otherwise, enter "0".					–	6
Line 5 minus line 6 (if negative, enter "0")			**Revised ACB on February 23, 1994**		=	7

Use the amount from line 7 to calculate the capital gain or loss when you sell the capital property.